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Growth will happen but this Budget does not do anything particular for growth, nor does it damage growth. That's the important thing.

Inflation happens outside the Budget and to address it also one has to look outside the Budget. But there are certain indirect tax elements which will contribute to inflation.”

for bringing down the fiscal deficit to GDP ratio. The second is a capping of government borrowing and, third, they are talking of bringing the debt to GDP ratio to manageable proportions. Then there are measures like the entry of NBFCs (Non-banking Financial Companies) in banking which will prop investor confidence. There is also an underlying emphasis on demand—consumption and investment. However, there is no clear message on inflation.

Ajit Ranade: In the euphoria of the victory in May last year there was huge expectation. The Left is no more a problem and the economy is recovering. So there was a huge expectation. The big message is that despite very challenging fiscal conditions, the finance minister has cut taxes, which is remarkable. That's the big message. Then there are subtexts. It's not reform as such but he mentioned it in his speech. The Government is promising to fulfil GST (Goods and Services Tax) roll-out, completely new tax code, a new company law bill and, of course, the Right to Food Bill. So the big message is tax cuts despite fiscal overheads, conveyed reforms and fiscal discipline.

Prabhu Chawla: Is there a big message in the Budget about short-term pain and long-term gain?

Ranade: There is no visible short-term pain for long-term gain. It looks like short-term gain for long-term gain. The finance minister is also riding on a fairly lucky environment in the sense that he is benefiting from

the upswing of the GDP growth. There is upstream in consumer and business optimism. But inflation is one big thing missing from the Budget.

Ashima Goyal: The big message is that we can do it, that the Government and the people are together, and about facilitation on delivering of public services. I don't agree with Ajit. I think the finance minister partly created his luck. He wasn't just pure lucky because he started with things really uncertain and there were some tough decisions. He chose to widen the deficit—to spend, to adopt counter cyclical fiscal policy which was not done in India. India has always focused on debt which is high, tried to reduce spending and tried to spend as much on your favourite schemes. The fiscal stimulus has helped together with monetary policy, and internationally India has delivered a big message that it is one country which has grown at reasonable rates and is one of the few countries which is able to roll back stimulus and yet have been able to spend to grow.

Bibek Debroy: This Budget does not have a big message. To the extent that it has a slightly smaller message—it is fiscal consolidation and moving forward on tax reform. **Rajiv Kumar:** Without making a pitch for a big message, there is a message. We know what the issues are and where to think boldly and we may also implement them later on. For example, the finance minister talked about agriculture problem and related it to retail but left it there. Now, this is a very bold step. The Economic Survey, and he himself, say that to target subsidies we can go to coupons. These are very bold reformist measures which would not be thought of earlier, from the earlier United Progressive Alliance (UPA) government.

Shankar Aiyar: Is our expectation level so subdued that we are happy with a Budget full of thoughts but little action?

Kumar: There is some action too. The fact that you brought subsidies on to the budget and you made it more transparent means there is a step in that direction. The move to allow more bank licences, the acceptance of the cap on public debt suggested by the 13th Finance Commission are all moves indicating recognition of steps needed. All of these show that we are prepared to go there if we get the opportunity. Now, for us it is time to push them in that direction.

Debroy: In the first UPA budget, the then finance minister P. Chidambaram also spoke